

calculated. Your account can also have one or more sub-accounts in different currencies, which is what you as a futures trader need. What you want to do is to make sure you have a sub-account for each currency of the futures in your universe. The instruments covered by this book, which are likely to cover what you need, are traded in USD, CHF, EUR, GBP, HKD, JPY, and CAD, so these are the accounts you need to set up from day one. When you take on a new position, you need to have enough collateral in your account and you should make sure that you always have much more than you need in terms of collateral. Some brokers may require you to post collateral in the same currency while others are happy with the equivalent in another currency, which would likely be your account base currency.

Futures contracts are marked to market on a daily basis and the daily gain or loss is settled through the clearing house at end of business. So if you have your accounts all set up, put US\$1 million in your base USD account and happen to lose £2,000 on long gilts today, you will find yourself in the red on the Sterling account. Note that this is regardless of whether or not your long gilt position is still open. The net gains or losses are always settled daily and the balance shows up on your profit and loss cash accounts. Now you have a choice of doing a spot currency transaction to cover the negative balance on your Sterling or to ignore it and pay the interest rate on the overdraft.

To avoid this problem, you could transfer an initial amount to each account to cover potential losses. This would mean that you open a currency exposure for those currencies you may not want. This currency exposure is not likely to be very large in terms of percent of the whole account, so again this leaves you with the choice of leaving it as it is and calling it a rounding error or hedging it away. Unless your account is very small, currency futures make for excellent hedging vehicles. They are cheaper and easier to trade than currency forwards and the spreads are much tighter. The only real negative aspect of using currency futures for hedging is that you cannot trade exact amounts, only multiples of the contract value, which is usually around US\$100,000–150,000 equivalent for the big contracts. Minis are normally available and liquid enough in this sector, though.

The picture I am trying to paint here is that cash management and its implications are not an exact science and that there are no easy answers on the best course of action. Some might transfer a few hundred thousand to each account and ignore the relatively minor currency exposures; others have great deals on the rates and leave the negative balance as it is, and some may transfer enough money and maintain currency hedges on it. It will not